

HOME LOAN PAYOFF PLAN

Comprehensive Month-wise Repayment Strategy

PROJECTED LOAN CLOSURE

September 2033

Month 91 • $\approx$ 7.58 Years

Total Principal	Total Interest	Total Paid
■ 2.5 Crores	■ 61.07 Lakhs	■ 3.11 Crores

EXECUTIVE SUMMARY

This comprehensive loan payoff plan outlines a strategic approach to repaying a home loan with a total principal of **₹2,50,00,000 (2.5 Crores)**. The plan incorporates regular EMI payments along with systematic prepayments to accelerate loan closure and minimize total interest outgo.

Plan Overview

- **Start Date:** March 2026 (Initial Disbursal)
- **EMI Commencement:** April 2026
- **Monthly EMI:** ₹3,00,000 per month
- **Annual Prepayments:** ₹1,00,000 (February) + ₹5,00,000 (October)
- **Total Prepayment per Year:** ₹6,00,000
- **Projected Closure:** September 2033 (Month 91)
- **Effective Loan Tenure:** Approximately 7.58 years

Key Financial Outcomes

Metric	Amount	Remarks
Total Principal Borrowed	₹2,50,00,000	₹1.5 Cr (Mar 2026) + ₹1 Cr (Mar 2028)
Total EMI Payments	₹2,70,06,737	90 months of ₹3L + final ₹2.07L
Total Prepayments	₹41,00,000	₹1L × 8 (Feb) + ₹5L × 7 (Oct) + final year
Total Amount Paid	₹3,11,06,737	EMI + Prepayments
Total Interest Paid	₹61,06,737	24.4% of principal
Interest as % of Total	19.6%	Efficient due to prepayments

LOAN ASSUMPTIONS & PARAMETERS

The following assumptions form the basis of this loan payoff projection. All calculations use monthly reducing balance method for interest computation.

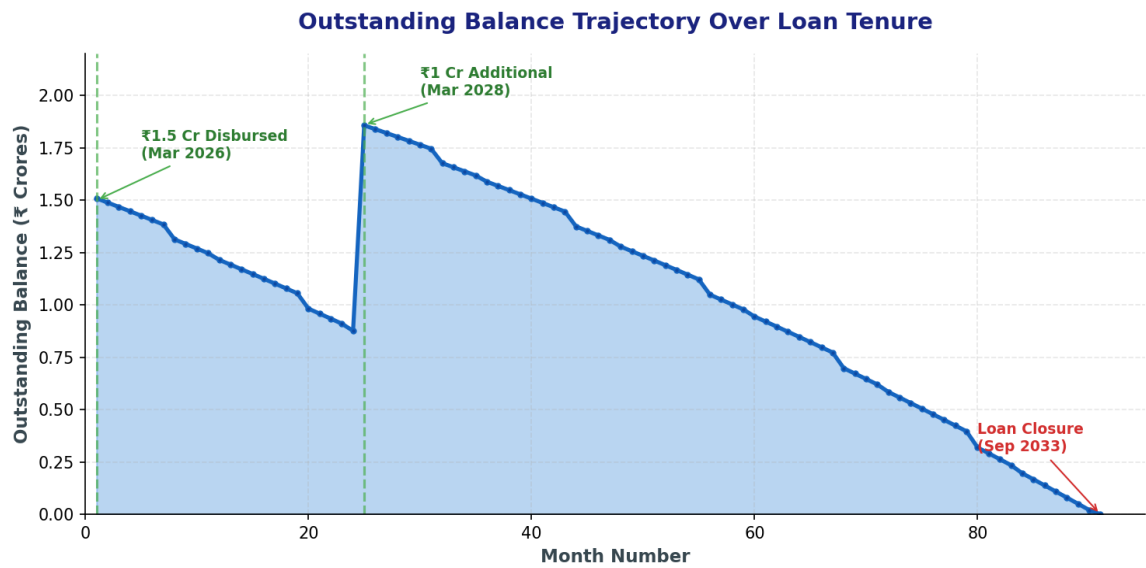
Parameter	Value	Details
Interest Rate	7.54% p.a.	Monthly reducing balance method
Monthly Interest Rate	0.6283%	$7.54\% \div 12 \text{ months}$
Initial Disbursal	■1,50,00,000	March 2026 - ■1.5 Crores
Second Disbursal	■1,00,00,000	March 2028 - ■1 Crore additional
Total Principal	■2,50,00,000	Combined disbursal amount
EMI Amount	■3,00,000	Fixed monthly payment from Apr 2026
February Prepayment	■1,00,000	Annual prepayment in February
October Prepayment	■5,00,000	Annual prepayment in October
Annual Prepay Total	■6,00,000	Combined yearly prepayment

Important Notes

- Interest is calculated on the outstanding principal at the beginning of each month.
- Prepayments are applied immediately after the EMI payment for that month.
- The second disbursal of ■1 Crore in March 2028 adds to the outstanding balance.
- All prepayments should be accompanied by a request for **TENURE REDUCTION** (not EMI reduction).
- The final month's payment of ■2,06,737 closes the loan completely.

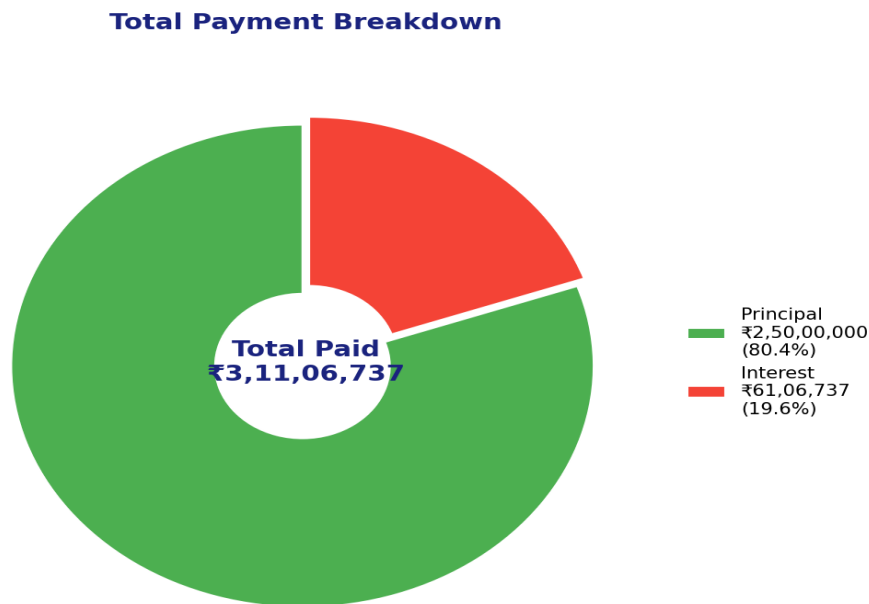
VISUAL ANALYTICS

Outstanding Balance Trajectory

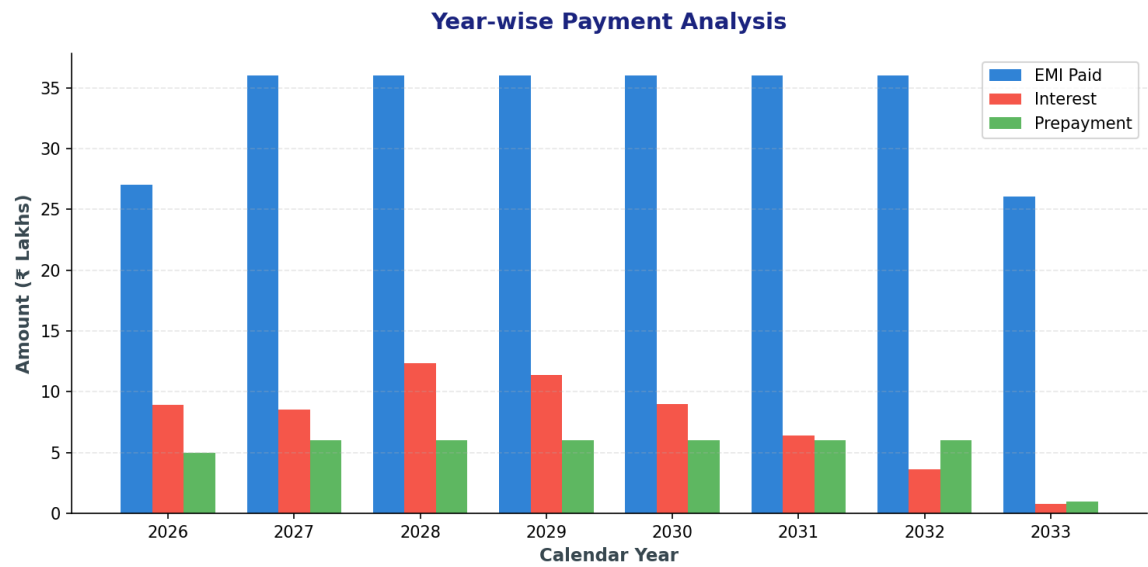


The chart above shows how the outstanding loan balance changes over the 91-month tenure. Notice the jump in March 2028 due to the additional ₹1 Crore disbursement. The consistent decline thereafter is a result of regular EMI payments combined with strategic prepayments.

Payment Composition Analysis

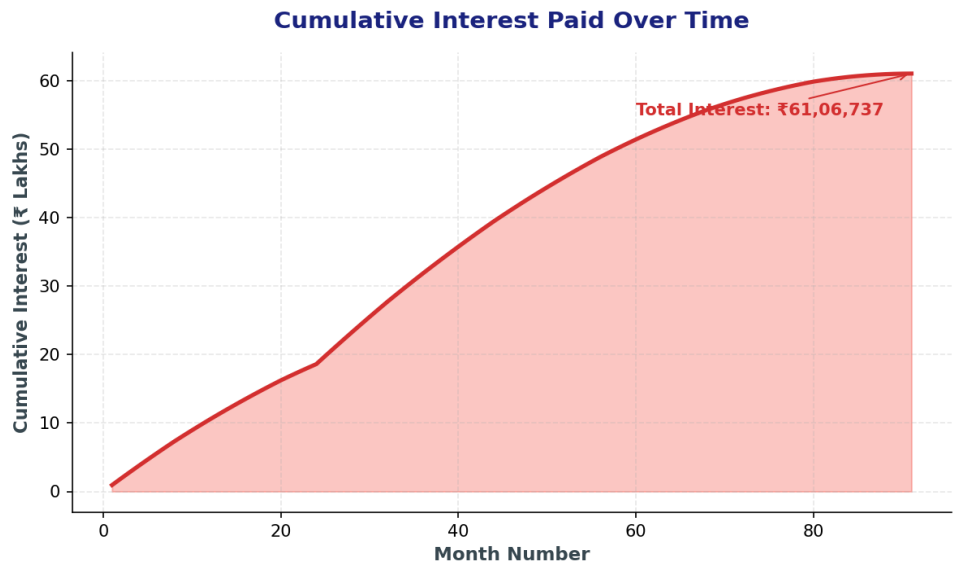


Year-wise Payment Analysis



The bar chart illustrates the annual distribution of EMI payments, interest charges, and prepayments. Notice how interest paid decreases year-over-year as the principal reduces, demonstrating the benefit of the prepayment strategy.

Cumulative Interest Trend



YEAR-WISE SUMMARY

This section provides a consolidated view of loan progression on a calendar year basis, making it easier to understand annual cash outflows and plan finances accordingly.

Year	Opening Balance	Closing Balance	Interest Paid	EMI Paid	Prepay	Disbursal
2026	■1,50,00,000	■1,26,94,433	■8,94,433	■27,00,000	■5,00,000	■1,50,00,000
2027	■1,26,94,433	■93,45,554	■8,51,121	■36,00,000	■6,00,000	-
2028	■93,45,554	■1,63,81,658	■12,36,104	■36,00,000	■6,00,000	■1,00,00,000
2029	■1,63,81,658	■1,33,20,608	■11,38,950	■36,00,000	■6,00,000	-
2030	■1,33,20,608	■1,00,20,609	■9,00,001	■36,00,000	■6,00,000	-
2031	■1,00,20,609	■64,63,008	■6,42,399	■36,00,000	■6,00,000	-
2032	■64,63,008	■26,27,697	■3,64,689	■36,00,000	■6,00,000	-
2033	■26,27,697	■0	■79,040	■26,06,737	■1,00,000	-
TOTAL	-	-	■61,06,737	■2,69,06,737	■42,00,000	■2,50,00,000

Year-wise Insights

- **2026:** Loan starts with ■1.5 Cr disbursal. Only 9 months of EMI (Apr-Dec). First Oct prepayment of ■5L reduces balance significantly.
- **2027:** Full year of 12 EMI payments. Both Feb (■1L) and Oct (■5L) prepayments made. Balance reduces from ■1.27 Cr to ■93.46 L.
- **2028:** Critical year - Additional ■1 Cr disbursed in March. Despite high interest (■12.36L), balance managed through consistent payments.
- **2029:** No new disbursal. Steady reduction with full prepayments. Interest decreases to ■11.39L.
- **2030:** Balance crosses below ■1 Cr mark by year end. Interest drops to ■9L.
- **2031:** Accelerated reduction. Interest down to ■6.42L. Closing balance at ■64.63L.
- **2032:** Final full year. Interest reduces to ■3.65L. Balance at ■26.28L by December.
- **2033:** Final year with only 9 months. Last EMI of ■2.07L closes the loan in September.

DETAILED MONTH-WISE SCHEDULE

The following tables provide a complete month-by-month breakdown of the loan amortization. Key columns explained:

- **Opening:** Outstanding balance at the start of the month
- **Interest:** Interest accrued for the month (Opening × 7.54% ÷ 12)
- **Disbursal:** Any new loan amount disbursed during the month
- **EMI:** Equated Monthly Installment paid
- **Prepay:** Additional prepayment made (Feb: ₹1L, Oct: ₹5L)
- **Closing:** Outstanding balance at end of month (Opening + Interest + Disbursal - EMI - Prepay)

Schedule Part 1: March 2026 - September 2028 (Months 1-31)

#	Month	Opening	Interest	Disbursal	EMI	Prepay	Closing
1	Mar 2026	₹1,50,00,000	₹94,250	₹1,50,00,000	-	-	₹1,50,94,250
2	Apr 2026	₹1,50,94,250	₹94,842	-	₹3,00,000	-	₹1,48,89,092
3	May 2026	₹1,48,89,092	₹93,553	-	₹3,00,000	-	₹1,46,82,645
4	Jun 2026	₹1,46,82,645	₹92,256	-	₹3,00,000	-	₹1,44,74,901
5	Jul 2026	₹1,44,74,901	₹90,951	-	₹3,00,000	-	₹1,42,65,852
6	Aug 2026	₹1,42,65,852	₹89,637	-	₹3,00,000	-	₹1,40,55,489
7	Sep 2026	₹1,40,55,489	₹88,315	-	₹3,00,000	-	₹1,38,43,804
8	Oct 2026	₹1,38,43,804	₹86,985	-	₹3,00,000	₹5,00,000	₹1,31,30,790
9	Nov 2026	₹1,31,30,790	₹82,505	-	₹3,00,000	-	₹1,29,13,295
10	Dec 2026	₹1,29,13,295	₹81,139	-	₹3,00,000	-	₹1,26,94,433
11	Jan 2027	₹1,26,94,433	₹79,763	-	₹3,00,000	-	₹1,24,74,197
12	Feb 2027	₹1,24,74,197	₹78,380	-	₹3,00,000	₹1,00,000	₹1,21,52,576
13	Mar 2027	₹1,21,52,576	₹76,359	-	₹3,00,000	-	₹1,19,28,935
14	Apr 2027	₹1,19,28,935	₹74,953	-	₹3,00,000	-	₹1,17,03,888
15	May 2027	₹1,17,03,888	₹73,539	-	₹3,00,000	-	₹1,14,77,428
16	Jun 2027	₹1,14,77,428	₹72,117	-	₹3,00,000	-	₹1,12,49,544
17	Jul 2027	₹1,12,49,544	₹70,685	-	₹3,00,000	-	₹1,10,20,229
18	Aug 2027	₹1,10,20,229	₹69,244	-	₹3,00,000	-	₹1,07,89,473
19	Sep 2027	₹1,07,89,473	₹67,794	-	₹3,00,000	-	₹1,05,57,266
20	Oct 2027	₹1,05,57,266	₹66,335	-	₹3,00,000	₹5,00,000	₹98,23,601
21	Nov 2027	₹98,23,601	₹61,725	-	₹3,00,000	-	₹95,85,326

22	Dec 2027	■95,85,326	■60,228	-	■3,00,000	-	■93,45,554
23	Jan 2028	■93,45,554	■58,721	-	■3,00,000	-	■91,04,275
24	Feb 2028	■91,04,275	■57,205	-	■3,00,000	■1,00,000	■87,61,481
25	Mar 2028	■1,87,61,481	■1,17,885	■1,00,00,000	■3,00,000	-	■1,85,79,365
26	Apr 2028	■1,85,79,365	■1,16,740	-	■3,00,000	-	■1,83,96,105
27	May 2028	■1,83,96,105	■1,15,589	-	■3,00,000	-	■1,82,11,694
28	Jun 2028	■1,82,11,694	■1,14,430	-	■3,00,000	-	■1,80,26,124
29	Jul 2028	■1,80,26,124	■1,13,264	-	■3,00,000	-	■1,78,39,389
30	Aug 2028	■1,78,39,389	■1,12,091	-	■3,00,000	-	■1,76,51,479
31	Sep 2028	■1,76,51,479	■1,10,910	-	■3,00,000	-	■1,74,62,390

Schedule Part 2: October 2028 - April 2031 (Months 32-62)

#	Month	Opening	Interest	Disbursal	EMI	Prepay	Closing
32	Oct 2028	■1,74,62,390	■1,09,722	-	■3,00,000	■5,00,000	■1,67,72,112
33	Nov 2028	■1,67,72,112	■1,05,385	-	■3,00,000	-	■1,65,77,496
34	Dec 2028	■1,65,77,496	■1,04,162	-	■3,00,000	-	■1,63,81,658
35	Jan 2029	■1,63,81,658	■1,02,931	-	■3,00,000	-	■1,61,84,590
36	Feb 2029	■1,61,84,590	■1,01,693	-	■3,00,000	■1,00,000	■1,58,86,283
37	Mar 2029	■1,58,86,283	■99,819	-	■3,00,000	-	■1,56,86,102
38	Apr 2029	■1,56,86,102	■98,561	-	■3,00,000	-	■1,54,84,663
39	May 2029	■1,54,84,663	■97,295	-	■3,00,000	-	■1,52,81,958
40	Jun 2029	■1,52,81,958	■96,022	-	■3,00,000	-	■1,50,77,980
41	Jul 2029	■1,50,77,980	■94,740	-	■3,00,000	-	■1,48,72,720
42	Aug 2029	■1,48,72,720	■93,450	-	■3,00,000	-	■1,46,66,170
43	Sep 2029	■1,46,66,170	■92,152	-	■3,00,000	-	■1,44,58,322
44	Oct 2029	■1,44,58,322	■90,846	-	■3,00,000	■5,00,000	■1,37,49,169
45	Nov 2029	■1,37,49,169	■86,391	-	■3,00,000	-	■1,35,35,559
46	Dec 2029	■1,35,35,559	■85,048	-	■3,00,000	-	■1,33,20,608
47	Jan 2030	■1,33,20,608	■83,698	-	■3,00,000	-	■1,31,04,306
48	Feb 2030	■1,31,04,306	■82,339	-	■3,00,000	■1,00,000	■1,27,86,644
49	Mar 2030	■1,27,86,644	■80,343	-	■3,00,000	-	■1,25,66,987
50	Apr 2030	■1,25,66,987	■78,963	-	■3,00,000	-	■1,23,45,950
51	May 2030	■1,23,45,950	■77,574	-	■3,00,000	-	■1,21,23,523
52	Jun 2030	■1,21,23,523	■76,176	-	■3,00,000	-	■1,18,99,700
53	Jul 2030	■1,18,99,700	■74,770	-	■3,00,000	-	■1,16,74,469
54	Aug 2030	■1,16,74,469	■73,355	-	■3,00,000	-	■1,14,47,824
55	Sep 2030	■1,14,47,824	■71,930	-	■3,00,000	-	■1,12,19,754
56	Oct 2030	■1,12,19,754	■70,497	-	■3,00,000	■5,00,000	■1,04,90,252
57	Nov 2030	■1,04,90,252	■65,914	-	■3,00,000	-	■1,02,56,166
58	Dec 2030	■1,02,56,166	■64,443	-	■3,00,000	-	■1,00,20,609
59	Jan 2031	■1,00,20,609	■62,963	-	■3,00,000	-	■97,83,571
60	Feb 2031	■97,83,571	■61,473	-	■3,00,000	■1,00,000	■94,45,045
61	Mar 2031	■94,45,045	■59,346	-	■3,00,000	-	■92,04,391
62	Apr 2031	■92,04,391	■57,834	-	■3,00,000	-	■89,62,225

Schedule Part 3: May 2031 - September 2033 (Months 63-91)

#	Month	Opening	Interest	Disbursal	EMI	Prepay	Closing
63	May 2031	■89,62,225	■56,313	-	■3,00,000	-	■87,18,538
64	Jun 2031	■87,18,538	■54,781	-	■3,00,000	-	■84,73,320
65	Jul 2031	■84,73,320	■53,241	-	■3,00,000	-	■82,26,560
66	Aug 2031	■82,26,560	■51,690	-	■3,00,000	-	■79,78,250
67	Sep 2031	■79,78,250	■50,130	-	■3,00,000	-	■77,28,380
68	Oct 2031	■77,28,380	■48,560	-	■3,00,000	■5,00,000	■69,76,940
69	Nov 2031	■69,76,940	■43,838	-	■3,00,000	-	■67,20,779
70	Dec 2031	■67,20,779	■42,229	-	■3,00,000	-	■64,63,008
71	Jan 2032	■64,63,008	■40,609	-	■3,00,000	-	■62,03,617
72	Feb 2032	■62,03,617	■38,979	-	■3,00,000	■1,00,000	■58,42,596
73	Mar 2032	■58,42,596	■36,711	-	■3,00,000	-	■55,79,307
74	Apr 2032	■55,79,307	■35,057	-	■3,00,000	-	■53,14,364
75	May 2032	■53,14,364	■33,392	-	■3,00,000	-	■50,47,756
76	Jun 2032	■50,47,756	■31,717	-	■3,00,000	-	■47,79,473
77	Jul 2032	■47,79,473	■30,031	-	■3,00,000	-	■45,09,504
78	Aug 2032	■45,09,504	■28,335	-	■3,00,000	-	■42,37,838
79	Sep 2032	■42,37,838	■26,628	-	■3,00,000	-	■39,64,466
80	Oct 2032	■39,64,466	■24,910	-	■3,00,000	■5,00,000	■31,89,376
81	Nov 2032	■31,89,376	■20,040	-	■3,00,000	-	■29,09,416
82	Dec 2032	■29,09,416	■18,281	-	■3,00,000	-	■26,27,697
83	Jan 2033	■26,27,697	■16,511	-	■3,00,000	-	■23,44,208
84	Feb 2033	■23,44,208	■14,729	-	■3,00,000	■1,00,000	■19,58,937
85	Mar 2033	■19,58,937	■12,309	-	■3,00,000	-	■16,71,246
86	Apr 2033	■16,71,246	■10,501	-	■3,00,000	-	■13,81,747
87	May 2033	■13,81,747	■8,682	-	■3,00,000	-	■10,90,429
88	Jun 2033	■10,90,429	■6,852	-	■3,00,000	-	■7,97,280
89	Jul 2033	■7,97,280	■5,010	-	■3,00,000	-	■5,02,290
90	Aug 2033	■5,02,290	■3,156	-	■3,00,000	-	■2,05,446
91	Sep 2033	■2,05,446	■1,291	-	■2,06,737	-	■0

Legend:

■ Green rows = Prepayment months (February/October)

■ Yellow rows = Disbursal months (March 2026, March 2028)

ACTION CHECKLIST

To successfully execute this loan payoff plan, follow the action items below diligently. Setting up reminders and automations where possible will help ensure consistency.

Monthly Actions (Every Month from April 2026)

- Ensure ■3,00,000 is available in your loan-linked account before EMI due date
- Verify EMI deduction has occurred and check updated outstanding balance
- Review bank statement to confirm correct EMI amount was debited
- Keep records of all EMI payments for tax documentation (if applicable)

February Actions (Annual Prepayment - ■1,00,000)

- Transfer ■1,00,000 to loan account or visit bank for prepayment
- **IMPORTANT:** Submit written request for **TENURE REDUCTION** (NOT EMI reduction)
- Collect acknowledgment receipt for the prepayment
- Verify the prepayment reflects in next month's statement
- Request updated amortization schedule from the bank

October Actions (Annual Prepayment - ■5,00,000)

- Transfer ■5,00,000 to loan account or visit bank for prepayment
- **IMPORTANT:** Submit written request for **TENURE REDUCTION** (NOT EMI reduction)
- Collect acknowledgment receipt for the prepayment
- Verify the prepayment reflects in next month's statement
- Request updated amortization schedule from the bank
- Review year-to-date interest paid for tax planning purposes

Key Dates to Remember

Date	Event	Action Required
March 2026	Loan Starts	Disbursal of ■1,50,00,000

April 2026	First EMI	Ensure ■3,00,000 available
October 2026	First Oct Prepay	Prepay ■5,00,000 + Tenure reduction
February 2027	First Feb Prepay	Prepay ■1,00,000 + Tenure reduction
March 2028	Second Disbursal	Additional ■1,00,00,000 disbursed
September 2033	Loan Closure	Final payment ■2,06,737

BENEFITS OF THIS REPAYMENT STRATEGY

Interest Savings Analysis

By following this prepayment strategy, you benefit in multiple ways compared to a standard loan repayment without prepayments:

Benefit	Details
Reduced Tenure	Loan closes in ~7.58 years instead of typical 15-20 years
Lower Total Interest	Interest of ₹61.07 Lakhs (24.4% of principal) is significantly lower than standard loan
Psychological Benefit	Being debt-free sooner provides peace of mind
Increased Cash Flow Later	Once loan closes, ₹3L/month becomes available for investments
Asset Ownership	Full property ownership achieved 7-12 years earlier

Why Request TENURE REDUCTION?

When making prepayments, banks typically offer two options: reduce EMI amount or reduce loan tenure. **Always choose TENURE REDUCTION** for the following reasons:

- **Faster Debt Freedom:** The loan closes earlier, freeing up your cash flow sooner.
- **More Interest Saved:** Shorter tenure means fewer months of interest accrual.
- **Compound Effect:** Each prepayment reduces principal, which reduces next month's interest, creating a compounding benefit.
- **Inflation Hedge:** Fixed EMI becomes relatively smaller over time due to inflation; maintaining it is advantageous.
- **Discipline:** Maintaining the same EMI ensures you don't reduce your repayment capacity.

Risk Considerations

- **Interest Rate Changes:** If the loan has a floating rate, interest rate increases will affect the schedule. Request updated amortization after rate changes.
- **Income Stability:** Ensure stable income to maintain ₹3L/month EMI + ₹6L annual prepayments.
- **Emergency Fund:** Maintain 6-12 months of EMI as emergency fund before aggressive prepayments.

- **Tax Benefits:** Consider Section 80C and Section 24 benefits before deciding prepayment amounts.
- **Opportunity Cost:** Evaluate if the prepayment amount could earn higher returns elsewhere (unlikely at 7.54% guaranteed savings).

SUMMARY & CONCLUSION

LOAN PAYOFF SUMMARY

Total Principal Borrowed	₹2,50,00,000 (₹2.5 Crores)
Total Interest Paid	₹61,06,737 (₹61.07 Lakhs)
Total Amount Paid	₹3,11,06,737 (₹3.11 Crores)
Total EMI Payments	91 months (₹3L × 90 + ₹2.07L final)
Total Prepayments	₹41,00,000 (₹41 Lakhs)
Loan Start Date	March 2026
Loan Closure Date	September 2033
Effective Tenure	7 Years 7 Months (91 months)
Interest as % of Principal	24.4%

This loan payoff plan provides a clear, achievable path to complete debt freedom by September 2033. By maintaining discipline with monthly EMI payments and strategic prepayments in February and October each year, you can successfully close a ₹2.5 Crore loan in approximately 7.58 years while paying only ₹61.07 Lakhs in interest - a testament to the power of systematic prepayment strategy.

Next Steps:

1. Share this plan with all stakeholders for alignment
2. Set up calendar reminders for February and October prepayments
3. Ensure loan account is set up for auto-debit of ₹3,00,000 monthly EMI
4. Request the bank for updated schedule after each prepayment
5. Review this plan annually and adjust if interest rates change significantly

